CHAPTER 25

Senior Securities with Warrants. Participating Issues. Switching and Hedging

NEARLY ALL THE VARIATIONS found in convertible issues have their counterpart in the terms of subscription warrants. The purchase price of the stock is ordinarily subject to change, up or down, corresponding to the standard provisions for adjusting a conversion price.

Example: White Eagle Oil and Refining Company Debenture 5½s, due 1937, were offered in March 1927 and carried warrants entitling the holder to subscribe on or before March 15, 1932, to 10 shares of the capital stock of the company at the following prices.

> $32 per share to and including March 15, 1928, and thereafter at
> $34 per share to and including March 15, 1929, and thereafter at
> $36 per share to and including March 15, 1930, and thereafter at
> $38 per share to and including March 15, 1931, and thereafter at
> $40 per share to and including March 15, 1932.

On January 27, 1930, the Standard Oil Company of New York acquired the White Eagle properties by assuming the liabilities of the latter company and exchanging 8½ shares of Standard Oil of New York for each 10 shares of White Eagle. In accordance with the terms of the indenture protecting the warrants against dilution and providing for readjustment of the subscription price in the case of a sale of the properties or merger of the company, the warrants thereafter entitled the holder to subscribe to 8½ shares of Standard Oil of New York (now Socony-Vacuum Corporation) at $42.35 per share to and including March 15, 1930, at $44.71 for the next year and at $47.06 for the following year.